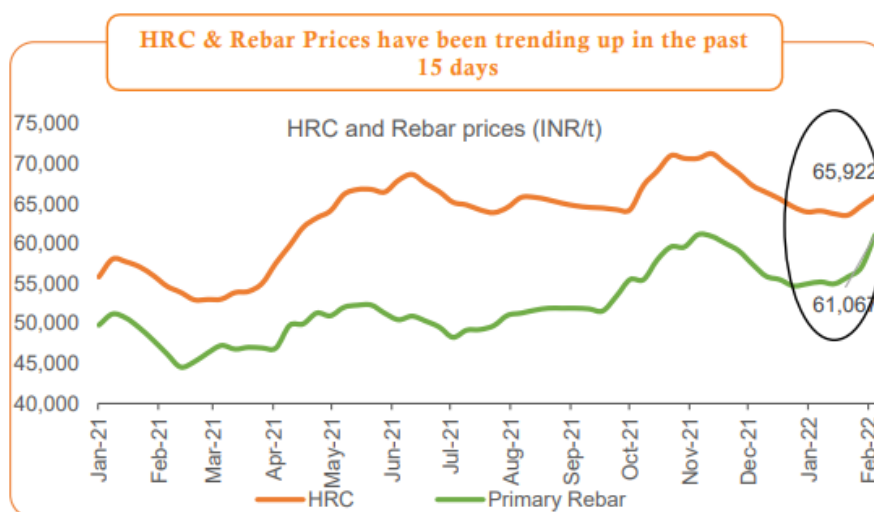


Current Industry Scenario:

Steel Prices seem to have bottomed out and are on the up move again led by reopening of the Chinese economy post the Chinese New year and improved demand in India on the back of pent up infrastructure and construction spends. Demand from Auto industry has remained weak but should start picking up as the semiconductor availability improves. Prices of Rebar in India have improved to INR 61k/tn from the bottom of INR 51–52k/tn and of HRC to INR 66k/tn from INR 62k/tn in early January.

Steel prices in the longer term are expected to remain structurally high owing to China maintaining production levels and hence scaling back from the exports market. Globally, there is very little capacity expansion in steel apart from in India and we expect Indian mills to gain larger share of export markets, improving their profitability.



Source – JSPL investor presentation

Tata Steel Q3FY22 updates

- Better than expected results largely due to better realization and lower than expected cost increase.
- India NSR improved by INR 1565/tn while EBITDA/tn at INR 28,658/tn was better than expectations of 25k–26k/tn.
- EU EBITDA/tn at \$183/tn was a bit lower than expectations due to higher energy costs.
- Expect EBITDA/tn to decline by INR 5000–6000 in India business while that of EU should improve by \$20–30/tn in Q4.
- Acquisition of NINL by TATA Steel Long products is a positive as it gives enough land to expand to 10mtpa from 1mtpa currently along with access to 100mt of iron ore.
- Net debt has reduced to 62,869cr from 75,389cr at the start of FY22 despite of WC build up of 14,000cr and capex of 7200 cr.

- Steel prices have held up better than most analysts' expectations and we expect earnings estimates to be revised upwards.

SAIL Q3FY22 updates

- Results were weaker than expectations on both volumes and margin terms.
- Volumes declined from 4.28mt in Q2 to 3.84mt due to poor demand but management expects to sell 4.8mt in Q4 having already sold 1.6mt in January.
- EBITDA/t came at INR 8881 /tn large due to increased coking coal costs (up 10k/t QoQ) and 430cr of provision for wage hikes. Expect EBITDA/tn to improve to 11,000–12,000/tn despite increase in coking coal costs due to operating leverage and normalization of employee expense.

Valuation & Outlook:

Though margins have peaked out for Indian steel players, they continue to enjoy margins much superior to previous commodity cycle and have thus massively reduced leverage. **We believe these stocks remain undervalued (3–4x EV/EBITDA v/s average of 5–6x)** and the market is placing too much emphasis on near term price volatility of raw materials and finished products rather than structural improvements in margin and debt profile of these stocks which were highly leveraged. **We prefer Tata Steel and SAIL.** We continue to remain positive on **Tata Steel** with a **target price of INR 1420** at an EV/EBITDA of 6x FY24 indicating an **upside of 23%** from current levels. We value **SAIL** with a **target price of INR 175** at an EV/EBITDA of 5x FY24 indicating an **upside of 79%**.

Key metrics of Steel companies:

Company	EBITDA/tn (INR)				Net Debt (INR cr)		
	FY21	Q1FY22	Q2FY22	Q3FY22	FY20	FY21	Q3FY22
Tata Steel	16,459	33,327	30,385	28,658	1,04,779	75,389	62,869
SAIL	9,222	19,728	16,395	8,881	54,127	37,677	21,147
JSW Steel	12,945	26,291	22,884	14,444	53,473	52,615	66,300
JSPL	19,786	28,098	21,215	17,433	35,919	22,146	10,981

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